

► **Extend the pre-packaged insolvency facility from MSMEs to bigger companies as well**

► **Evaluate the viability of a fast-track insolvency process outside the judicial process**

► **Reserve a fixed share of resolution proceeds for operational creditors to minimise litigation and facilitate early resolution**

► **Allow resolution through group-level insolvency proceedings, which includes invoking IBC for subsidiary companies as well**

► **Strengthen the insolvency process for realty firms by allowing project-wise insolvency instead of for the whole company**

► **Allow the sale of assets of defaulting corporates in parts if there is no resolution plan for the company**



GRAPHICS BY **RAHUL SHARMA**

► **Create a code of conduct for members of the Committee of Creditors**

► **Enforce appropriate deterrents like imposing penalties against stakeholders who initiate frivolous litigation to delay the process**

► **Mandate operational creditors to file dues data with the information utility**

► **Take away the right of a corporate debtor that is under default to propose the interim resolution professional**

four companies opting for it. “The design of the pre-packs is quite complicated, involving various procedural steps as well as the involvement of the NCLT [National Company Law Tribunal],” says Misha, Partner at Shardul Amarchand Mangaldas & Co (SAM). First, it requires the consent of 66 per cent of lenders. Second, if there is a haircut, then it has to be recorded. This makes bankers jittery. “There is also unease, particularly with public sector banks, because in the past (pre-IBC era), commercial decisions have been scrutinised,” says Mani Gupta, Partner at Sarthak Advocates & Solicitors. Pre-pack regulations put the debtor in control, as opposed

to IBC, where the creditors are in control. Despite that, promoters fear that a pre-pack may turn into a full-fledged insolvency process. For instance, if the lenders detect a fraud, the company defaults, or the enterprise value is lower than the liquidation value, the financial creditors can call for a bid.

The promoters also fear the Swiss challenge clause, which gets triggered if any resolution plan offers a haircut to operational creditors (suppliers owed money by the bankrupt party). “The pre-pack model is convoluted, as it requires the operational creditors to receive the full value to proceed without